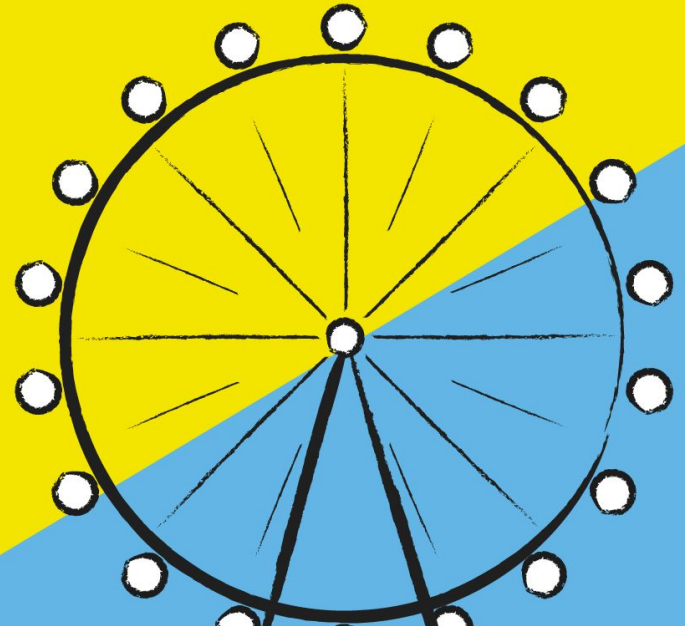


High-Growth in London

2021



O Introduction

Foreword

For many years now, we've been using our data on UK companies to demonstrate London's influence over the country's high-growth scene. In 2021, the Capital remains a major force, but its dominance appears to be stabilising.

In our first edition of this report, back in 2019, London accounted for 30% of high-growth UK companies. By our second edition, in May of 2020, that share had grown to 33%, and has remained steady since.

And in terms of investment, London has been attracting a growing share of the pounds

invested into private UK companies over the past decade, but this growth has slowed in the past two years. In 2019, London-based companies attracted 70p of every £1 invested in the UK, but this fell to 65p in 2020 and sits at 67p in Q1 2021.

It's probably too soon to attribute this to the Government's ambition to 'level up' the regions, but it's good to see that it's not a lost cause.

In this report, we map out the high-growth business landscape in London, from key sectors and funding trends to the impact of COVID-19.

What do we mean by 'ambitious'?

We use eight criteria to identify high-growth and ambitious companies. Each of these is a sign that a business is either actively growing or creating ambitious growth plans.

All companies featured in this report have met at least one of these growth triggers.



Equity investment



Venture debt



Accelerator attendance



Grant recipients



Scaleups



High-growth lists



MBO/MBI



Academic spinouts

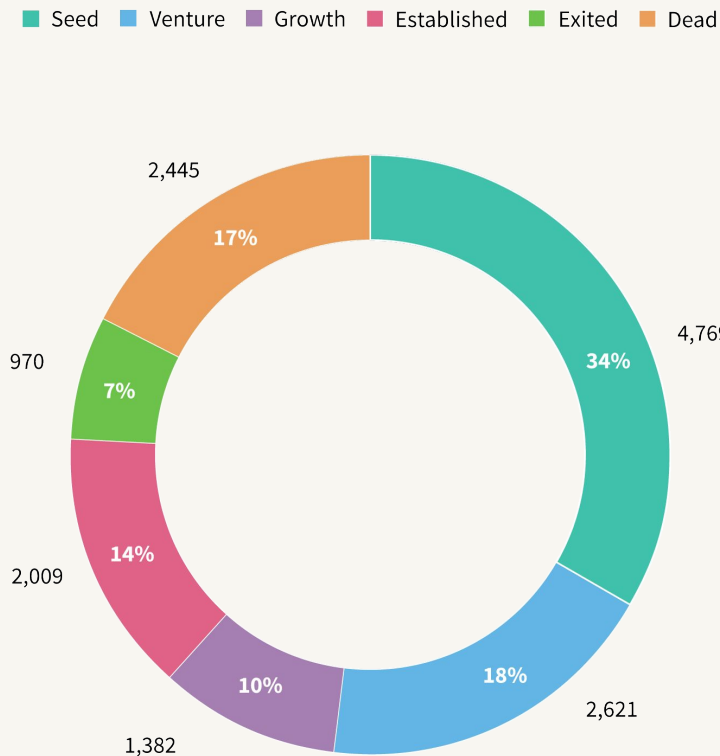
1 Companies

Stages of evolution

There are currently 10,781 active, ambitious companies in London. Just 52% of businesses are in seed or venture stage, compared with 56% in May last year, showing a maturation of the market.

An additional 970 have undergone an IPO or acquisition, and 2,445 are no longer trading. As expected during a global pandemic, companies are dying at a faster rate than they're hitting high-growth milestones. The number of active companies has increased 15% in the last year, compared to a 24% increase in dead companies.

STAGES OF EVOLUTION OF HIGH-GROWTH LONDON BUSINESSES

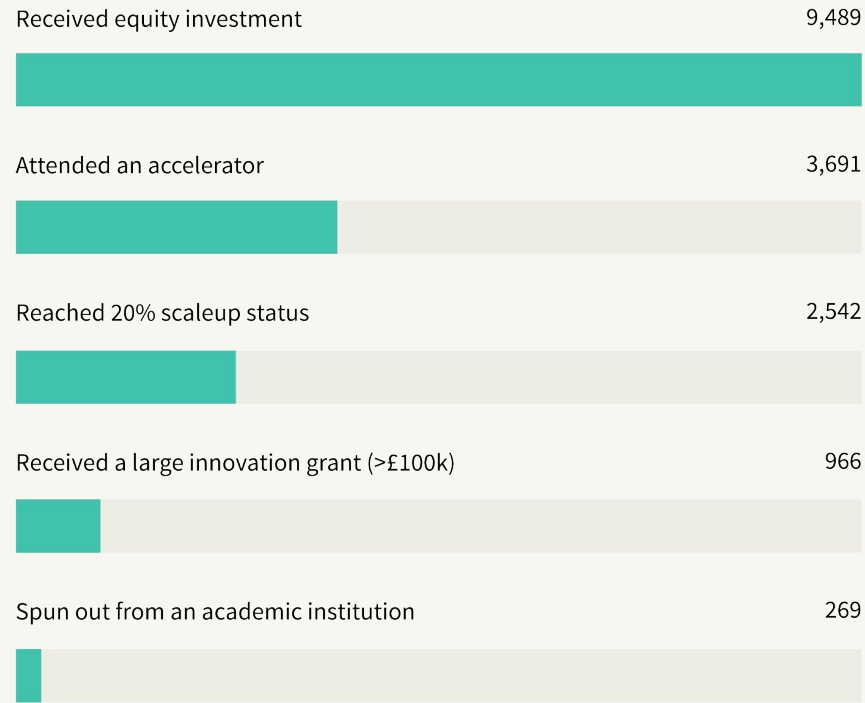


Methods of growth

66% of these companies (9,489) have grown through equity investment, by far the most popular method of financing growth in the City. In the last 12 months, 827 companies in London have raised their first round of equity finance, representing 49% of first-round raisers in the UK.

Accelerators are also a very popular method of growth, but less so during the pandemic. Just 108 London companies attended an accelerator programme in the last year, compared to 695 in the period prior. Despite its world-class universities, London has a low proportion of spinouts and grant recipients.

NUMBER OF AMBITIOUS COMPANIES IN LONDON BY METHODS OF GROWTH



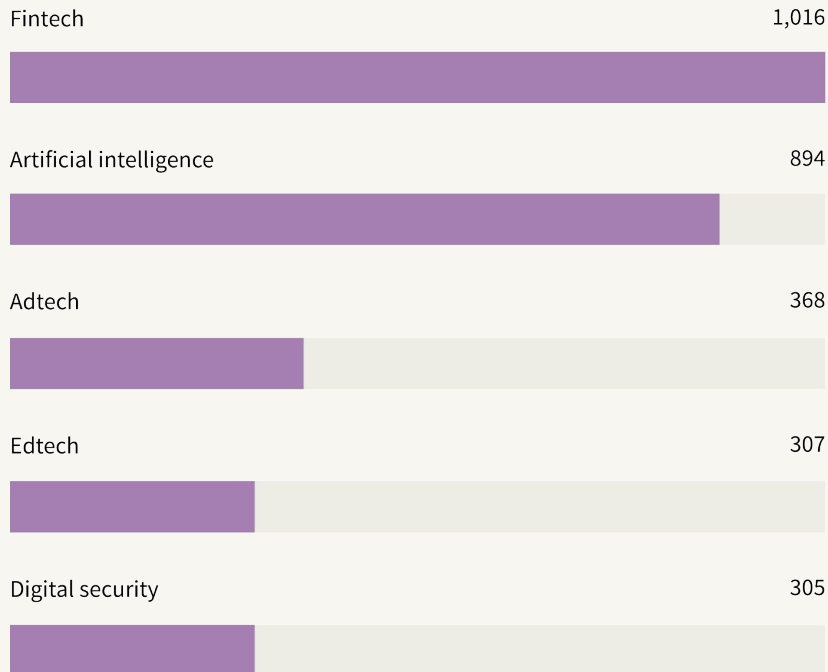
Sectors and verticals

London's world-class fintech community is growing from strength to strength, with more than a thousand high-growth fintechs headquartered in the Capital, representing 69% of all UK fintechs and 7% of London's high-growth companies.

Artificial intelligence is hot on its heels, with 894 businesses.

And despite declining investor interest in the sector, adtech is also a popular vertical in London.

NUMBER OF AMBITIOUS COMPANIES IN LONDON BY VERTICAL

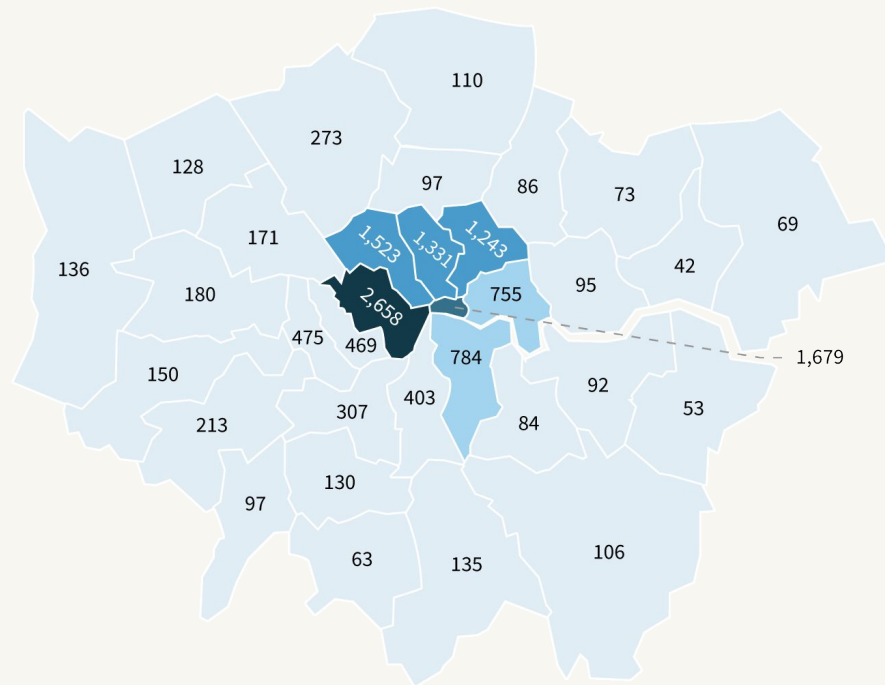


Geographical distribution

A staggering 2,658 companies operate from within Westminster's eight square miles, and a further 1,679 in the City of London, neighbouring some of the corporate giants they hope to disrupt.

It will be interesting to see if and how this landscape changes as more companies set up in a post-pandemic world. Physical presence has become less important over the course of the year, and remote-first setups have become more common. Early-stage startups, especially, may no longer deem central London office space, and the sky-high rent that comes with it, as essential.

DISTRIBUTION OF AMBITIOUS COMPANIES IN LONDON



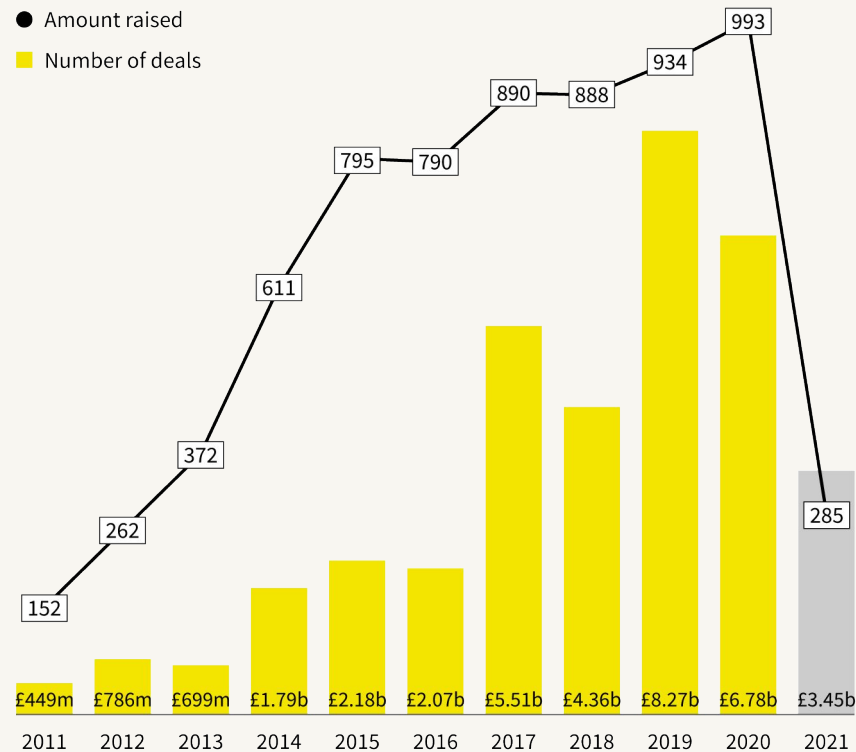
2 Fundraisings

Equity finance

Across the UK, Q1 2021 saw record levels of investment in terms of both volume and value of equity deals. London was no exception to this trend. In fact, London-based businesses drove this uptick in activity, with 285 rounds, worth £3.45b, secured during the first three months of the year. This represents 48% of all deals, up slightly from 46% in 2020, and 67% of all pounds invested, down from a high of 70% in 2019.

The largest deals in the country are predominantly happening in the Capital, but regional companies are giving London a run for its money.

NUMBER OF ANNOUNCED DEALS AND AMOUNT RAISED BY LONDON-BASED COMPANIES 2011 - Q1 2021



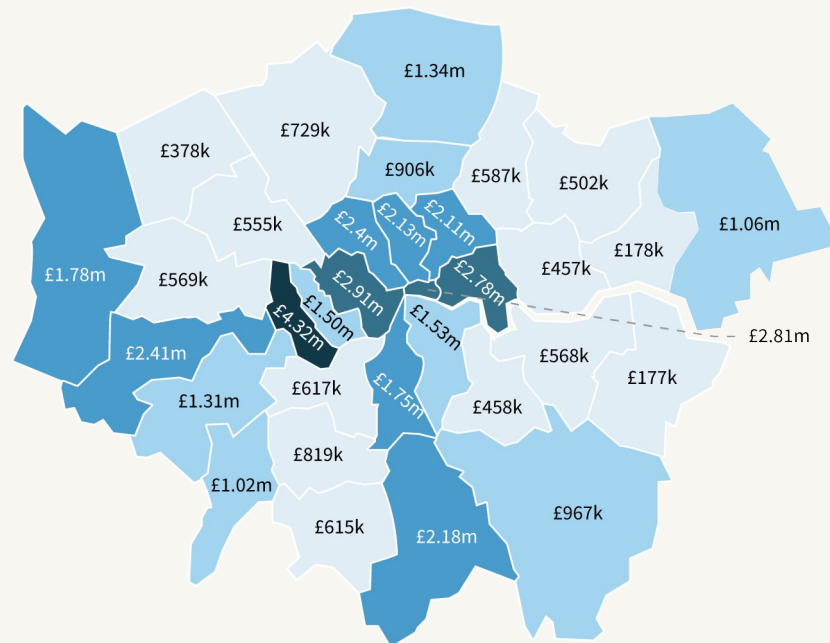
Average round size

OneWeb's massive £941m funding round in March 2019 gives Hammersmith and Fulham the largest average equity round size in the city (£4.32m).

The company was acquired out of administration by the UK Government in November 2020.

Westminster has the second-highest average (£2.91m) whilst Barking and Dagenham has the lowest at £178k. Just 19 fundraisings have taken place in the borough since 2011, the largest of which (£1.2m) was raised by indoor racing company Capital Karts in 2018.

AVERAGE FUNDING ROUND SIZE BY LOCAL AUTHORITY



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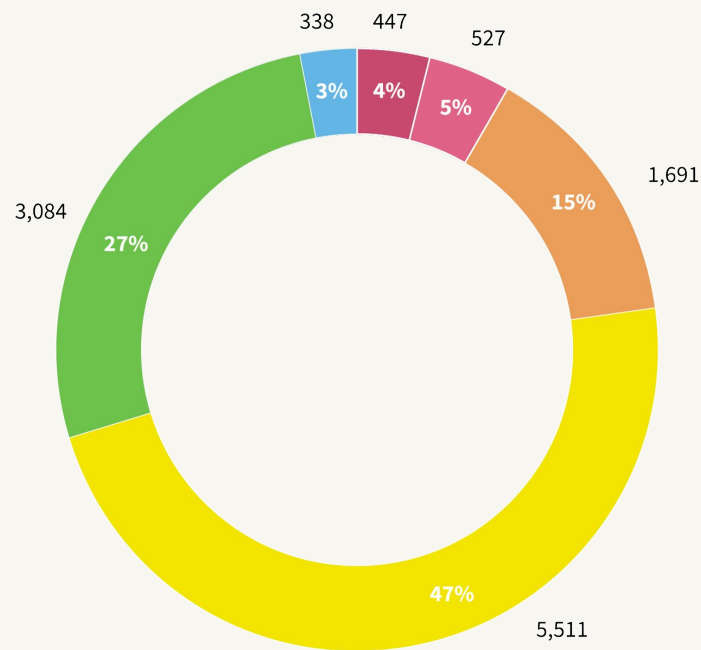
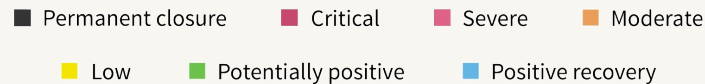
Impact of COVID-19

Impact statuses

Since the start of the COVID-19 outbreak, London-based companies have been best placed to weather the storm, disproportionately operating in tech (and therefore more easily able to work from home) with agile, well-funded teams. But this inequality has levelled out across the year.

Now, 30% of ambitious London-based businesses are either potentially positively impacted by, or positively recovering from, the pandemic, compared to 27% across the rest of the country. For reference, those figures stood at 45% and 53% in May 2020, respectively.

IMPACT OF COVID-19 ON HIGH-GROWTH LONDON BUSINESSES



The Future Fund

Launched in May 2020, the Government's Future Fund has supported equity-backed businesses to extend their runway during the pandemic.

As of March 25th, a total of 1,236 convertible loan notes (CLN), worth £1.21b, have been approved. These have been allocated in keeping with the distribution of equity-backed companies across the country. London is home to 60% of the businesses eligible for the CLNs, and received 56% of Future Fund deals and 60% of pounds invested via the fund.

STAGES OF EVOLUTION OF HIGH-GROWTH LONDON BUSINESSES

Recipient location	Number of CLN	Value of CLN
London	696	£720m
East Midlands	16	£18.9m
East of England	89	£91.7m
North East	34	£31.7m
North West	81	£67.6m
Northern Ireland	14	£13.6m
Scotland	22	£8.60m
South East	139	£148m
South West	49	£33.6m
Wales	22	£11.9m
West Midlands	39	£24.5m
Yorkshire and the Humber	35	£33.7m

4

Company Cohorts

Top companies by value of equity investment received

Company	Total raised	Sector	Stage of evolution	Location	COVID-19 status
SumUp	£961m	Fintech	Growth	Westminster	Low
OneTrust	£699m	Digital security	Growth	Islington	Low
Revolut	£690m	Challenger bank	Established	Tower Hamlets	Moderate
Checkout.com	£631m	Fintech	Established	Hackney	Low
Truphone	£550m	Internet of things	Established	Tower Hamlets	Potentially positive
Starling Bank	£535m	Challenger bank	Established	City of London	Severe
babylon	£518m	eHealth	Growth	Kensington and Chelsea	Potentially positive
Monzo	£494m	Challenger bank	Growth	City of London	Moderate

Top companies with under 50 employees, by valuation

Company	Latest valuation	Sector	Stage of evolution	Location	Current COVID-19 status
Rezolve	£540m	Adtech	Venture	Westminster	Low
Immodulon Therapeutics	£406m	Pharmaceuticals	Growth	Hillingdon	Potentially positive
Bibimoney	£254m	Fintech	Venture	Islington	Low
Sicut Enterprises	£187m	Sustainable materials	Venture	Islington	Low
The Ink Factory	£138m	Film & TV	Growth	Camden	Moderate
Drayson Technologies	£124m	Digital security	Growth	Kensington and Chelsea	Low
CompactGTL	£114m	Energy	Growth	Westminster	Low
MiNA Therapeutics	£112m	Pharmaceuticals	Venture	Hammersmith and Fulham	Low

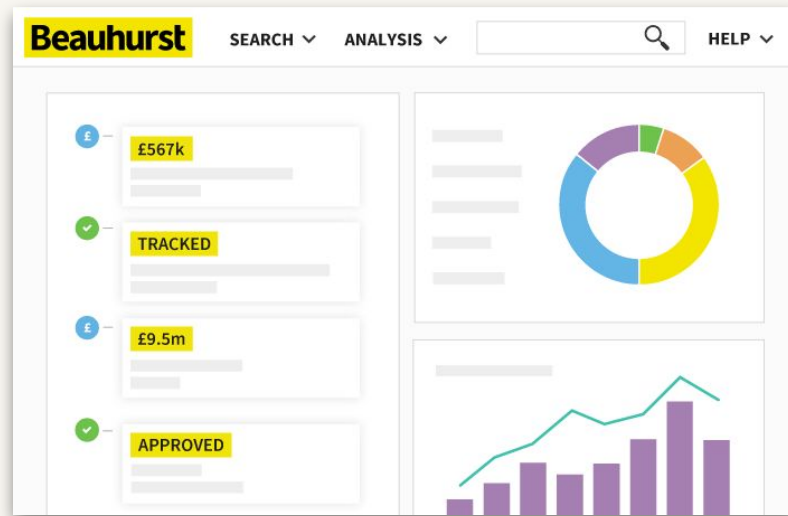
Explore every ambitious company in the UK

Beauhurst is a searchable database of the UK's most ambitious companies—from seed-stage startups to maturing scaleups and beyond.

We collect and **manually curate** hundreds of data points on over 32,000 companies, so you can find, engage and win high-value clients faster than ever before.

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